IB Economics - Topic 2.10: Teacher and AI Grading Guide

Market Failure: Asymmetric Information | Questions 1-25

Scope and assessment status

Each original paired question has (a) 10 marks and (b) 15 marks. All 50 questions assess HL-only content. Difficulty: 5 Easy, 13 Medium, 7 Hard pairs, distributed through the bank. Level and difficulty are independent.

Current Topic 2.10 is HL only: adverse selection and moral hazard under asymmetric information; government legislation/regulation and provision of information; private signalling and screening. No prescribed diagrams or calculations.

Uploaded older IB textbook discusses asymmetric information within market failure, but the current guide determines the two mechanisms and four response categories assessed here.

These are original adapted Paper 1-style practice questions, not official IB examination or marking material. The question bank revisits syllabus mechanisms through distinct explanatory and evaluative tasks; the pairs are alternatives for practice, not separate official learning outcomes.

The current HL outline lists adverse selection, moral hazard, government disclosure/regulation and private signalling/screening. Twenty-five distinct pairs cover those routes; reaching 50 would repeat mechanisms or add unscheduled theory.

Coverage blueprint

Unequal information and adverse selection: 1-8

Moral hazard: 9-12

Government responses: 13-16

Private signals and screening: 17-22

Comparing responses: 23-25

Marking principles

Use best-fit assessment for each part, not a fixed marks-per-keyword checklist. Credit accurate alternatives addressing the task. Do not require every example or qualification below.

Part (a): 10 marks

Practice bands: 0; 1-2 limited; 3-4 mainly descriptive; 5-6 partial explanation; 7-8 clear and accurate causal analysis; 9-10 fully developed explanation with any required diagram or calculation. These abbreviated bands are not official IB descriptors.

Part (b): 15 marks

Practice bands: 0; 1-3 very limited; 4-6 superficial; 7-9 developed but weakly balanced; 10-12 balanced analysis and evaluation; 13-15 sustained, applied evaluation and supported judgment. A named case alone is not developed application.

Diagram and AI grading

No compulsory diagram. Assess who possesses information, whether the issue precedes or follows contract, and whether the response reveals type, constrains action or supplies verified information.

Record separate marks for (a) and (b), band evidence, diagram or numerical features if relevant, economic misconceptions, quality of real-world application, and one actionable improvement per part. If a student drawing is unclear, flag the uncertainty rather than assuming correctness.

Question 1

Easy | HL | 25 marks

Topic 2.10: Asymmetry

(a) [10] Explain the meaning of asymmetric information in a market transaction.

(b) [15] Using real-world examples, discuss whether unequal information always prevents exchange.

Part (a) - Indicative answer and marking guidance

Essential concepts. Asymmetric information means one party has relevant information the other lacks. Adverse selection concerns hidden characteristics before agreement; moral hazard concerns changed hidden actions after protection or contract.

Required reasoning. One party knows relevant quality or risk that the other does not; uncertainty can hinder efficient trades.

Expected diagram or calculation. No compulsory diagram in Topic 2.10; identify informed and uninformed side.

Common misconceptions. Do not confuse hidden characteristics before exchange with hidden action after a contract, or swap the roles of signalling and screening. For this question, check specifically that the student distinguishes asymmetry from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. One party knows relevant quality or risk that the other does not; uncertainty can hinder efficient trades.

Counterargument and conditions. Unequal information need not prevent trade if credible disclosure or inspection is available.

Application and real-world example. FTC used-car Buyers Guide provides a concrete disclosure setting.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 2

Medium | HL | 25 marks

Topic 2.10: Asymmetry

(a) [10] Explain why a seller may know more about a used vehicle than a buyer.

(b) [15] Using real-world examples, evaluate whether a required disclosure eliminates this information gap.

Part (a) - Indicative answer and marking guidance

Essential concepts. Asymmetric information means one party has relevant information the other lacks. Adverse selection concerns hidden characteristics before agreement; moral hazard concerns changed hidden actions after protection or contract.

Required reasoning. Prior use and defects may be privately known; a Buyers Guide covers selected information only.

Expected diagram or calculation. No compulsory diagram in Topic 2.10; identify informed and uninformed side.

Common misconceptions. Do not confuse hidden characteristics before exchange with hidden action after a contract, or swap the roles of signalling and screening. For this question, check specifically that the student distinguishes asymmetry from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Prior use and defects may be privately known; a Buyers Guide covers selected information only.

Counterargument and conditions. Unequal information need not prevent trade if credible disclosure or inspection is available.

Application and real-world example. FTC used-car Buyers Guide provides a concrete disclosure setting.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 3

Hard | HL | 25 marks

Topic 2.10: Asymmetry

(a) [10] Explain how incomplete knowledge of quality can affect the price buyers offer.

(b) [15] Using real-world examples, discuss whether buyers should assume all second-hand goods are low quality.

Part (a) - Indicative answer and marking guidance

Essential concepts. Asymmetric information means one party has relevant information the other lacks. Adverse selection concerns hidden characteristics before agreement; moral hazard concerns changed hidden actions after protection or contract.

Required reasoning. A buyer may offer an average-risk price, undervaluing high-quality items.

Expected diagram or calculation. No compulsory diagram in Topic 2.10; identify informed and uninformed side.

Common misconceptions. Do not confuse hidden characteristics before exchange with hidden action after a contract, or swap the roles of signalling and screening. For this question, check specifically that the student distinguishes asymmetry from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. A buyer may offer an average-risk price, undervaluing high-quality items.

Counterargument and conditions. Unequal information need not prevent trade if credible disclosure or inspection is available.

Application and real-world example. FTC used-car Buyers Guide provides a concrete disclosure setting.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 4

Medium | HL | 25 marks

Topic 2.10: Asymmetry

(a) [10] Explain why asymmetric information is distinct from an ordinary difference in preferences.

(b) [15] Using real-world examples, evaluate whether market participants need identical information for efficient trade.

Part (a) - Indicative answer and marking guidance

Essential concepts. Asymmetric information means one party has relevant information the other lacks. Adverse selection concerns hidden characteristics before agreement; moral hazard concerns changed hidden actions after protection or contract.

Required reasoning. Relevant hidden facts about quality/risk differ from valuing known features differently.

Expected diagram or calculation. No compulsory diagram in Topic 2.10; identify informed and uninformed side.

Common misconceptions. Do not confuse hidden characteristics before exchange with hidden action after a contract, or swap the roles of signalling and screening. For this question, check specifically that the student distinguishes asymmetry from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Relevant hidden facts about quality/risk differ from valuing known features differently.

Counterargument and conditions. Unequal information need not prevent trade if credible disclosure or inspection is available.

Application and real-world example. FTC used-car Buyers Guide provides a concrete disclosure setting.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 5

Medium | HL | 25 marks

Topic 2.10: Adverse selection

(a) [10] Explain how adverse selection can drive higher-quality used goods out of a market.

(b) [15] Using real-world examples, discuss whether certification can prevent adverse selection.

Part (a) - Indicative answer and marking guidance

Essential concepts. Asymmetric information means one party has relevant information the other lacks. Adverse selection concerns hidden characteristics before agreement; moral hazard concerns changed hidden actions after protection or contract.

Required reasoning. Average offered price makes high-quality sellers withdraw while lower quality remains.

Expected diagram or calculation. No compulsory diagram; trace type composition before agreement.

Common misconceptions. Do not confuse hidden characteristics before exchange with hidden action after a contract, or swap the roles of signalling and screening. For this question, check specifically that the student distinguishes adverse selection from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Average offered price makes high-quality sellers withdraw while lower quality remains.

Counterargument and conditions. Evidence of quality/risk and contract design can reduce self-selection, but may be costly.

Application and real-world example. FTC used-car warranty information; health insurance provides a separate hypothetical context.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 6

Easy | HL | 25 marks

Topic 2.10: Adverse selection

(a) [10] Explain why adverse selection occurs before an insurance contract is agreed.

(b) [15] Using real-world examples, evaluate whether insurers can price risk accurately without health information.

Part (a) - Indicative answer and marking guidance

Essential concepts. Asymmetric information means one party has relevant information the other lacks. Adverse selection concerns hidden characteristics before agreement; moral hazard concerns changed hidden actions after protection or contract.

Required reasoning. Higher-risk buyers may be more likely to seek cover at pooled price.

Expected diagram or calculation. No compulsory diagram; trace type composition before agreement.

Common misconceptions. Do not confuse hidden characteristics before exchange with hidden action after a contract, or swap the roles of signalling and screening. For this question, check specifically that the student distinguishes adverse selection from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Higher-risk buyers may be more likely to seek cover at pooled price.

Counterargument and conditions. Evidence of quality/risk and contract design can reduce self-selection, but may be costly.

Application and real-world example. FTC used-car warranty information; health insurance provides a separate hypothetical context.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 7

Hard | HL | 25 marks

Topic 2.10: Adverse selection

(a) [10] Explain how a uniform insurance premium can change the composition of customers.

(b) [15] Using real-world examples, discuss whether compulsory participation eliminates adverse selection.

Part (a) - Indicative answer and marking guidance

Essential concepts. Asymmetric information means one party has relevant information the other lacks. Adverse selection concerns hidden characteristics before agreement; moral hazard concerns changed hidden actions after protection or contract.

Required reasoning. Lower-risk buyers may leave; average risk and premium rise, if participation optional.

Expected diagram or calculation. No compulsory diagram; trace type composition before agreement.

Common misconceptions. Do not confuse hidden characteristics before exchange with hidden action after a contract, or swap the roles of signalling and screening. For this question, check specifically that the student distinguishes adverse selection from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower-risk buyers may leave; average risk and premium rise, if participation optional.

Counterargument and conditions. Evidence of quality/risk and contract design can reduce self-selection, but may be costly.

Application and real-world example. FTC used-car warranty information; health insurance provides a separate hypothetical context.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 8

Medium | HL | 25 marks

Topic 2.10: Adverse selection

(a) [10] Explain why the expectation of low quality can become self-reinforcing in a used-goods market.

(b) [15] Using real-world examples, evaluate whether warranties can reverse this process.

Part (a) - Indicative answer and marking guidance

Essential concepts. Asymmetric information means one party has relevant information the other lacks. Adverse selection concerns hidden characteristics before agreement; moral hazard concerns changed hidden actions after protection or contract.

Required reasoning. Lower bid prompts good sellers' exit, validating low average quality expectations.

Expected diagram or calculation. No compulsory diagram; trace type composition before agreement.

Common misconceptions. Do not confuse hidden characteristics before exchange with hidden action after a contract, or swap the roles of signalling and screening. For this question, check specifically that the student distinguishes adverse selection from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower bid prompts good sellers' exit, validating low average quality expectations.

Counterargument and conditions. Evidence of quality/risk and contract design can reduce self-selection, but may be costly.

Application and real-world example. FTC used-car warranty information; health insurance provides a separate hypothetical context.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 9

Hard | HL | 25 marks

Topic 2.10: Moral hazard

(a) [10] Explain how insurance can change a person's incentives after they are insured.

(b) [15] Using real-world examples, discuss whether insurance inevitably makes behaviour less careful.

Part (a) - Indicative answer and marking guidance

Essential concepts. Asymmetric information means one party has relevant information the other lacks. Adverse selection concerns hidden characteristics before agreement; moral hazard concerns changed hidden actions after protection or contract.

Required reasoning. Coverage reduces private cost of loss, possibly reducing prevention effort.

Expected diagram or calculation. No compulsory diagram; trace changed incentives after agreement.

Common misconceptions. Do not confuse hidden characteristics before exchange with hidden action after a contract, or swap the roles of signalling and screening. For this question, check specifically that the student distinguishes moral hazard from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Coverage reduces private cost of loss, possibly reducing prevention effort.

Counterargument and conditions. Deductibles, monitoring, reputation and remaining exposure can preserve caution.

Application and real-world example. Insurance or guaranteed lending with exact contractual terms specified.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 10

Medium | HL | 25 marks

Topic 2.10: Moral hazard

(a) [10] Explain why moral hazard differs from adverse selection in timing and mechanism.

(b) [15] Using real-world examples, evaluate which problem is harder to observe in an insurance market.

Part (a) - Indicative answer and marking guidance

Essential concepts. Asymmetric information means one party has relevant information the other lacks. Adverse selection concerns hidden characteristics before agreement; moral hazard concerns changed hidden actions after protection or contract.

Required reasoning. Hidden action after contract versus hidden type before contract; both can coexist.

Expected diagram or calculation. No compulsory diagram; trace changed incentives after agreement.

Common misconceptions. Do not confuse hidden characteristics before exchange with hidden action after a contract, or swap the roles of signalling and screening. For this question, check specifically that the student distinguishes moral hazard from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Hidden action after contract versus hidden type before contract; both can coexist.

Counterargument and conditions. Deductibles, monitoring, reputation and remaining exposure can preserve caution.

Application and real-world example. Insurance or guaranteed lending with exact contractual terms specified.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 11

Easy | HL | 25 marks

Topic 2.10: Moral hazard

(a) [10] Explain how a lender's actions after receiving a guarantee could create moral hazard.

(b) [15] Using real-world examples, discuss whether guarantees must encourage excessive risk-taking.

Part (a) - Indicative answer and marking guidance

Essential concepts. Asymmetric information means one party has relevant information the other lacks. Adverse selection concerns hidden characteristics before agreement; moral hazard concerns changed hidden actions after protection or contract.

Required reasoning. Reduced exposure to loss may weaken screening or monitoring incentives.

Expected diagram or calculation. No compulsory diagram; trace changed incentives after agreement.

Common misconceptions. Do not confuse hidden characteristics before exchange with hidden action after a contract, or swap the roles of signalling and screening. For this question, check specifically that the student distinguishes moral hazard from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Reduced exposure to loss may weaken screening or monitoring incentives.

Counterargument and conditions. Deductibles, monitoring, reputation and remaining exposure can preserve caution.

Application and real-world example. Insurance or guaranteed lending with exact contractual terms specified.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 12

Medium | HL | 25 marks

Topic 2.10: Moral hazard

(a) [10] Explain why an insured firm may still avoid risky behaviour despite protection.

(b) [15] Using real-world examples, evaluate whether insurance contracts can align incentives.

Part (a) - Indicative answer and marking guidance

Essential concepts. Asymmetric information means one party has relevant information the other lacks. Adverse selection concerns hidden characteristics before agreement; moral hazard concerns changed hidden actions after protection or contract.

Required reasoning. Reputation, deductibles, future premiums and remaining losses preserve caution.

Expected diagram or calculation. No compulsory diagram; trace changed incentives after agreement.

Common misconceptions. Do not confuse hidden characteristics before exchange with hidden action after a contract, or swap the roles of signalling and screening. For this question, check specifically that the student distinguishes moral hazard from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Reputation, deductibles, future premiums and remaining losses preserve caution.

Counterargument and conditions. Deductibles, monitoring, reputation and remaining exposure can preserve caution.

Application and real-world example. Insurance or guaranteed lending with exact contractual terms specified.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 13

Hard | HL | 25 marks

Topic 2.10: Government information

(a) [10] Explain how a legal disclosure requirement can reduce asymmetric information.

(b) [15] Using real-world examples, evaluate the effectiveness of the FTC Used Car Rule.

Part (a) - Indicative answer and marking guidance

Essential concepts. Asymmetric information means one party has relevant information the other lacks. Adverse selection concerns hidden characteristics before agreement; moral hazard concerns changed hidden actions after protection or contract. Government can regulate/disclose; informed parties signal and less-informed parties screen.

Required reasoning. Buyers Guide states warranty terms and key facts, improving knowledge.

Expected diagram or calculation. No compulsory diagram in Topic 2.10; explain what is disclosed and what remains unknown.

Common misconceptions. Do not confuse hidden characteristics before exchange with hidden action after a contract, or swap the roles of signalling and screening. For this question, check specifically that the student distinguishes government information from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Buyers Guide states warranty terms and key facts, improving knowledge.

Counterargument and conditions. Disclosure may omit hidden defects and buyers may not process it.

Application and real-world example. FTC Buyers Guide on used cars.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 14

Medium | HL | 25 marks

Topic 2.10: Government information

(a) [10] Explain how a government information campaign could improve choices in a market with hidden risk.

(b) [15] Using real-world examples, discuss whether information provision is enough to correct asymmetric information.

Part (a) - Indicative answer and marking guidance

Essential concepts. Asymmetric information means one party has relevant information the other lacks. Adverse selection concerns hidden characteristics before agreement; moral hazard concerns changed hidden actions after protection or contract. Government can regulate/disclose; informed parties signal and less-informed parties screen.

Required reasoning. Verified information can narrow knowledge gap.

Expected diagram or calculation. No compulsory diagram; distinguish evidence from mere publicity.

Common misconceptions. Do not confuse hidden characteristics before exchange with hidden action after a contract, or swap the roles of signalling and screening. For this question, check specifically that the student distinguishes government information from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Verified information can narrow knowledge gap.

Counterargument and conditions. Accuracy, attention and hidden actions remain issues.

Application and real-world example. FTC consumer advice on vehicle inspection and history reports.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 15

Medium | HL | 25 marks

Topic 2.10: Government regulation

(a) [10] Explain how regulation can require minimum information from sellers.

(b) [15] Using real-world examples, evaluate whether standardised disclosures improve consumer comparison.

Part (a) - Indicative answer and marking guidance

Essential concepts. Asymmetric information means one party has relevant information the other lacks. Adverse selection concerns hidden characteristics before agreement; moral hazard concerns changed hidden actions after protection or contract. Government can regulate/disclose; informed parties signal and less-informed parties screen.

Required reasoning. Common format reduces search costs and ambiguity.

Expected diagram or calculation. No compulsory diagram; identify enforcement and response.

Common misconceptions. Do not confuse hidden characteristics before exchange with hidden action after a contract, or swap the roles of signalling and screening. For this question, check specifically that the student distinguishes government regulation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Common format reduces search costs and ambiguity.

Counterargument and conditions. Compliance and truthfulness require oversight.

Application and real-world example. FTC Used Car Rule.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 16

Easy | HL | 25 marks

Topic 2.10: Government regulation

(a) [10] Explain why government regulation of quality may reduce adverse selection.

(b) [15] Using real-world examples, discuss whether quality standards can replace buyer inspection.

Part (a) - Indicative answer and marking guidance

Essential concepts. Asymmetric information means one party has relevant information the other lacks. Adverse selection concerns hidden characteristics before agreement; moral hazard concerns changed hidden actions after protection or contract. Government can regulate/disclose; informed parties signal and less-informed parties screen.

Required reasoning. Enforced minimum can remove very low-quality options, raising buyer confidence.

Expected diagram or calculation. No compulsory diagram; distinguish safety standard from warranty.

Common misconceptions. Do not confuse hidden characteristics before exchange with hidden action after a contract, or swap the roles of signalling and screening. For this question, check specifically that the student distinguishes government regulation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Enforced minimum can remove very low-quality options, raising buyer confidence.

Counterargument and conditions. Standards can raise costs and still leave quality variation.

Application and real-world example. A named vehicle safety inspection system with accurate jurisdiction.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 17

Hard | HL | 25 marks

Topic 2.10: Signalling

(a) [10] Explain how a seller can signal product quality when buyers cannot observe it directly.

(b) [15] Using real-world examples, evaluate whether warranties credibly distinguish quality.

Part (a) - Indicative answer and marking guidance

Essential concepts. Asymmetric information means one party has relevant information the other lacks. Adverse selection concerns hidden characteristics before agreement; moral hazard concerns changed hidden actions after protection or contract. Government can regulate/disclose; informed parties signal and less-informed parties screen.

Required reasoning. Costly warranty may be easier for reliable sellers to provide.

Expected diagram or calculation. No compulsory diagram; explain why the signal correlates with quality.

Common misconceptions. Do not confuse hidden characteristics before exchange with hidden action after a contract, or swap the roles of signalling and screening. For this question, check specifically that the student distinguishes signalling from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Costly warranty may be easier for reliable sellers to provide.

Counterargument and conditions. Poor sellers may mimic signals, and warranty terms matter.

Application and real-world example. FTC vehicle warranty disclosure.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 18

Medium | HL | 25 marks

Topic 2.10: Signalling

(a) [10] Explain why a qualification can act as a signal in a labour market.

(b) [15] Using real-world examples, discuss whether credentials always reveal worker productivity.

Part (a) - Indicative answer and marking guidance

Essential concepts. Asymmetric information means one party has relevant information the other lacks. Adverse selection concerns hidden characteristics before agreement; moral hazard concerns changed hidden actions after protection or contract. Government can regulate/disclose; informed parties signal and less-informed parties screen.

Required reasoning. Hard-to-obtain qualification may indicate skills to less-informed employer.

Expected diagram or calculation. No compulsory diagram; distinguish signalling from skill creation.

Common misconceptions. Do not confuse hidden characteristics before exchange with hidden action after a contract, or swap the roles of signalling and screening. For this question, check specifically that the student distinguishes signalling from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Hard-to-obtain qualification may indicate skills to less-informed employer.

Counterargument and conditions. Credentials can vary in relevance and exclude capable workers.

Application and real-world example. A professional license or verified training certificate.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 19

Hard | HL | 25 marks

Topic 2.10: Signalling

(a) [10] Explain why a seller's reputation may reduce buyers' uncertainty.

(b) [15] Using real-world examples, evaluate whether ratings are a reliable signal of product quality.

Part (a) - Indicative answer and marking guidance

Essential concepts. Asymmetric information means one party has relevant information the other lacks. Adverse selection concerns hidden characteristics before agreement; moral hazard concerns changed hidden actions after protection or contract. Government can regulate/disclose; informed parties signal and less-informed parties screen.

Required reasoning. Repeated verified performance creates reputation cost of deception.

Expected diagram or calculation. No compulsory diagram; identify verification.

Common misconceptions. Do not confuse hidden characteristics before exchange with hidden action after a contract, or swap the roles of signalling and screening. For this question, check specifically that the student distinguishes signalling from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Repeated verified performance creates reputation cost of deception.

Counterargument and conditions. Fake reviews and changing product quality limit reliability.

Application and real-world example. A named platform with audited ratings, if documented.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 20

Medium | HL | 25 marks

Topic 2.10: Screening

(a) [10] Explain how a buyer can screen sellers when product quality is uncertain.

(b) [15] Using real-world examples, discuss whether an independent inspection is worthwhile for every purchase.

Part (a) - Indicative answer and marking guidance

Essential concepts. Asymmetric information means one party has relevant information the other lacks. Adverse selection concerns hidden characteristics before agreement; moral hazard concerns changed hidden actions after protection or contract. Government can regulate/disclose; informed parties signal and less-informed parties screen.

Required reasoning. Inspection reveals condition before purchase but has a cost.

Expected diagram or calculation. No compulsory diagram; distinguish screening by less-informed side.

Common misconceptions. Do not confuse hidden characteristics before exchange with hidden action after a contract, or swap the roles of signalling and screening. For this question, check specifically that the student distinguishes screening from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Inspection reveals condition before purchase but has a cost.

Counterargument and conditions. Low-value purchases may not justify it; defects can remain hidden.

Application and real-world example. FTC advice to request independent vehicle inspection.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 21

Easy | HL | 25 marks

Topic 2.10: Screening

(a) [10] Explain how an insurer can screen applicants to estimate risk.

(b) [15] Using real-world examples, evaluate whether screening improves both efficiency and equity.

Part (a) - Indicative answer and marking guidance

Essential concepts. Asymmetric information means one party has relevant information the other lacks. Adverse selection concerns hidden characteristics before agreement; moral hazard concerns changed hidden actions after protection or contract. Government can regulate/disclose; informed parties signal and less-informed parties screen.

Required reasoning. Information on relevant risk helps price coverage and reduces selection.

Expected diagram or calculation. No compulsory diagram; distinguish screening from risky action after cover.

Common misconceptions. Do not confuse hidden characteristics before exchange with hidden action after a contract, or swap the roles of signalling and screening. For this question, check specifically that the student distinguishes screening from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Information on relevant risk helps price coverage and reduces selection.

Counterargument and conditions. Privacy, data quality and affordability matter.

Application and real-world example. A documented insurance underwriting practice, with legal constraints checked.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 22

Medium | HL | 25 marks

Topic 2.10: Screening

(a) [10] Explain why a lender might request evidence of a borrower's income.

(b) [15] Using real-world examples, discuss whether income verification is sufficient to eliminate credit-market information problems.

Part (a) - Indicative answer and marking guidance

Essential concepts. Asymmetric information means one party has relevant information the other lacks. Adverse selection concerns hidden characteristics before agreement; moral hazard concerns changed hidden actions after protection or contract. Government can regulate/disclose; informed parties signal and less-informed parties screen.

Required reasoning. Documents help assess repayment ability before contract.

Expected diagram or calculation. No compulsory diagram; link screening to hidden type.

Common misconceptions. Do not confuse hidden characteristics before exchange with hidden action after a contract, or swap the roles of signalling and screening. For this question, check specifically that the student distinguishes screening from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Documents help assess repayment ability before contract.

Counterargument and conditions. Future behaviour and unexpected shocks remain uncertain.

Application and real-world example. A mortgage application with verified income documentation.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 23

Hard | HL | 25 marks

Topic 2.10: Response comparison

(a) [10] Explain how signalling and screening differ in who initiates the information-revealing action.

(b) [15] Using real-world examples, evaluate which is more reliable in a used-car market.

Part (a) - Indicative answer and marking guidance

Essential concepts. Asymmetric information means one party has relevant information the other lacks. Adverse selection concerns hidden characteristics before agreement; moral hazard concerns changed hidden actions after protection or contract. Government can regulate/disclose; informed parties signal and less-informed parties screen.

Required reasoning. Informed seller signals, uninformed buyer screens; credible costs and verification differ.

Expected diagram or calculation. No compulsory diagram; compare direction of information flow.

Common misconceptions. Do not confuse hidden characteristics before exchange with hidden action after a contract, or swap the roles of signalling and screening. For this question, check specifically that the student distinguishes response comparison from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Informed seller signals, uninformed buyer screens; credible costs and verification differ.

Counterargument and conditions. Either can be misleading or costly.

Application and real-world example. Dealer warranty versus buyer-arranged inspection under FTC guidance.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 24

Medium | HL | 25 marks

Topic 2.10: Response comparison

(a) [10] Explain why disclosure and screening may complement one another.

(b) [15] Using real-world examples, discuss whether regulation can remove the need for private responses.

Part (a) - Indicative answer and marking guidance

Essential concepts. Asymmetric information means one party has relevant information the other lacks. Adverse selection concerns hidden characteristics before agreement; moral hazard concerns changed hidden actions after protection or contract. Government can regulate/disclose; informed parties signal and less-informed parties screen.

Required reasoning. Disclosure standardises known terms, inspection investigates condition.

Expected diagram or calculation. No compulsory diagram; assess distinct information gaps.

Common misconceptions. Do not confuse hidden characteristics before exchange with hidden action after a contract, or swap the roles of signalling and screening. For this question, check specifically that the student distinguishes response comparison from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Disclosure standardises known terms, inspection investigates condition.

Counterargument and conditions. Residual hidden quality may persist; duplicative costs possible.

Application and real-world example. FTC Buyers Guide and independent mechanic inspection.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 25

Medium | HL | 25 marks

Topic 2.10: Response comparison

(a) [10] Explain why a policy addressing adverse selection may not remove moral hazard.

(b) [15] Using real-world examples, evaluate whether better pre-contract information is sufficient for well-functioning insurance.

Part (a) - Indicative answer and marking guidance

Essential concepts. Asymmetric information means one party has relevant information the other lacks. Adverse selection concerns hidden characteristics before agreement; moral hazard concerns changed hidden actions after protection or contract. Government can regulate/disclose; informed parties signal and less-informed parties screen.

Required reasoning. Screening identifies initial type but hidden effort after coverage can change outcomes.

Expected diagram or calculation. No compulsory diagram; clearly separate timing.

Common misconceptions. Do not confuse hidden characteristics before exchange with hidden action after a contract, or swap the roles of signalling and screening. For this question, check specifically that the student distinguishes response comparison from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Screening identifies initial type but hidden effort after coverage can change outcomes.

Counterargument and conditions. Contract incentives and monitoring may also be necessary.

Application and real-world example. Health or vehicle insurance examples with verified features.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Sources and scope

The current IB Economics guide controls syllabus boundaries. The uploaded Economics for the IB Diploma, second edition (2012), is a supplementary conceptual check; its older chapter sequence and content cannot expand the current specification. Real-world examples are optional and should be checked against their cited sources.

G. IB Economics guide, first assessment 2022, Topic 2.10, printed p. 31.

Open source

A. US Federal Trade Commission, Used Car Rule: required Buyers Guide and warranty disclosure.

Open source

B. US FTC, Buying a Used Car from a Dealer: independent inspection and information guidance.

Open source

Final checks

25 paired questions; 5 Easy, 13 Medium, 7 Hard; all HL The student paper contains no answers or difficulty labels.